“What Happens to the House?”

And other questions families ask when Mom is in care and Medicaid comes up.

What happens to the house? What about Dad? Nearly every family with a parent in care arrives at the same handful of questions. These are the ones that come up most, answered in general terms.

None of the answers is about Mom in particular. Where the honest answer is “it depends on the state and the situation,” the answer says so and names who to ask.

1 What can Mom keep and still qualify?

It depends on her state and her situation. That is the honest answer. Medicaid's rules are based on federal requirements, but states have considerable leeway, and eligibility rules vary from state to state. What a family can do is list what Mom owns and how each thing is owned, so the person who knows her state has something to work from. [1]

> **ASK A PROFESSIONAL WHEN** you want to know which of Mom's things are counted where she lives. That is a question for your Medicaid planner or the state Medicaid agency.

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2 What happens to the house?

It depends on the facts: whose names are on the deed, who lives there, the family's circumstances and the state. It helps to know that the house can come up in two separate conversations, one about whether Mom qualifies now and one, later, about estate recovery. Justice in Aging, a national legal nonprofit, notes that where a home was not counted toward eligibility, many families are unaware that it may later be subject to recovery. Neither point tells you what will happen with your parents' house. [2]

> **ASK A PROFESSIONAL WHEN** you want to know how either conversation applies to your parents' house. Bring the names on the deed and who lives there to an elder law attorney.

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3 Dad is still at home. What about him?

Federal law has provisions meant to prevent what it calls spousal impoverishment: leaving the spouse who is still living at home with little or no income or resources. Under them, the federal Medicaid site says, a certain amount of the couple's combined resources is protected for the spouse living in the community, and a certain amount of the income of the spouse in care can be set aside for the other's use. The amounts, and how they apply to Dad, depend on the state and on your parents' own income and resources. [3]

> **ASK A PROFESSIONAL WHEN** you want to know what applies to Dad. Take what he has coming in each month and the list of what your parents own to your Medicaid planner or an elder law attorney.

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4 How can we protect Dad, or the other assets?

This page can't answer that. Whether anything can or should be done depends on the state and on your parents' whole situation, and it takes legal and financial judgment. Justice in Aging notes that the legal mechanisms for retaining assets typically require help from a lawyer, and the Consumer Financial Protection Bureau tells homeowners to seek advice from legal and tax professionals because transferring property can have significant financial implications. Your part is the list and the questions. [2] [4]

> **ASK A PROFESSIONAL WHEN** anyone in the family is thinking of changing whose name is on the house or an account, or of giving something away. Take the idea to an elder law attorney as a question.

5 Is qualifying for Medicaid the same as protecting what Mom has?

No, they are separate questions. Qualifying is about whether Medicaid may help pay for Mom's care now. Estate recovery, which KFF describes as the recovery of certain Medicaid costs after an enrollee dies, is about later, and the federal Medicaid site treats it as its own topic, apart from eligibility. A family can have an answer to one and not have asked the other. [5] [6]

> **ASK A PROFESSIONAL WHEN** you've been given an answer and can't tell which question it was answering. Ask your Medicaid planner to explain the difference for Mom's situation.

6 What is estate recovery?

If a person receives Medicaid coverage for long-term care services, the federal long-term care site explains, federal law requires states to recover the amount Medicaid spent on that person's behalf from the estate after death. The amount recovered cannot be greater than the amount Medicaid contributed to the person's medical care. Beyond that, Medicaid programs and the way they handle recovery vary significantly from state to state, so this page doesn't say what it may mean for any one family. [7] [8] [2]

> **ASK A PROFESSIONAL WHEN** you want to know what it may mean for the house or the accounts. That is a question for an elder law attorney who knows your state.

7 We keep hearing different things. Who's right?

Possibly several of them, about someone else's parent in some other state. Rules vary by state, which is why the National Council on Aging points families with questions about a particular situation to the state or local Medicaid office, a local legal aid office or a State Health Insurance Assistance Program. Write down each thing you've been told, who said it, and whether that person knows Mom's situation. Treat the rest as questions. [9]

> **ASK A PROFESSIONAL WHEN** two things you've been told can't both be true. Bring both to your Medicaid planner, with who said each, and don't settle it yourselves.

8 Mom's savings go down every month. Is there anything we should be doing?

That is hard to watch, and it is the reason most families start asking these questions. This page can't tell you whether anything should change, because that depends on Mom's state and her situation. It can tell you where the question goes: the federal long-term care site names the state's Medical Assistance office as the best source of information about how to qualify in your state, and going through your list with you is part of what your Medicaid planner does. [1]

> **ASK A PROFESSIONAL WHEN** you want to know whether Medicaid may help with the cost of Mom's care. Bring what she owns, how it's owned and what her care costs each month to someone who knows her state.

9 Who do we ask about what?

Start with your Medicaid planner, who reviews the list of what Mom owns with you and explains the difference between qualifying now and the longer-term questions. Legal questions about the deed, a trust or estate recovery go to an elder law attorney; the federal long-term care site describes elder law attorneys as lawyers who deal daily with the issues surrounding old age, and says free legal support may be available through federally funded legal assistance programs. Questions about a financial product go to a licensed financial professional, and the Consumer Financial Protection Bureau suggests checking an adviser's background before you trust one. [10] [11]

> **ASK A PROFESSIONAL WHEN** you can't tell which kind of professional a question belongs to. Write it down under “not sure” and ask your Medicaid planner where it goes.

What this guide doesn't do

It doesn't answer any question about Mom's own house, accounts or family. Anything that depends on her state or her situation needs someone who has looked at them. Nothing here is legal, financial or tax advice.

Ready for the next step?

You know what each of your questions depends on and who can answer it. The planning interview is where the questions become about your family: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Medicaid
2. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates
3. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
4. Consumer Financial Protection Bureau, Leaving your home to children or heirs (Older Americans Housing Guide)
5. KFF, What is Medicaid Estate Recovery?
6. Medicaid.gov (Centers for Medicare & Medicaid Services), Eligibility Policy
7. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
8. Administration for Community Living (LongTermCare information), Glossary
9. National Council on Aging, What Is Medicaid Estate Recovery? And How Does It Work?
10. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
11. Consumer Financial Protection Bureau, Know your financial adviser